PPIC 30 YEARS

PRESS RELEASE · DECEMBER 9, 2024

Only One in Three Californians Think the American Dream Still Holds True

MAJORITIES FAVOR INCREASED FUNDING FOR JOB TRAINING AND CHILD CARE; HALF OF EMPLOYED RESIDENTS WORRY ABOUT A.I.'S EFFECT ON JOBS IN THEIR INDUSTRY

RELATED EVENT

Statewide Survey: Californians and Their Economic Well-Being · December 10, 2024 ›

CONTACT

Steven Bliss
Director of Digital Strategy
Email 415-291-4412

SAN FRANCISCO, December 9, 2024—Just one-third of Californians believe that the American Dream—the idea that if you work hard, you will get ahead—still holds true. Overwhelming majorities support increasing government funding for job training and child care programs, while half of employed Californians think advances in artificial intelligence (AI) will reduce the number of jobs in their industry. These are among the key findings from a statewide survey released today by the Public Policy Institute of California.

One in three Californians (33%) think the American Dream still holds true, while 52 percent think it once held true but no longer does, and 15 percent think it never did. Across partisan groups, four in ten or less believe the American Dream still holds true (39% Republicans, 32% Democrats, 29% independents). Forty-two percent of Asian Americans believe the American Dream still holds true, while 32 percent of whites, 30 percent of Latinos, and 24 percent of African Americans believe this. Californians' belief in the American Dream is highest among upper income residents (37% annual household income $80,000 or more; 29% $40,000 to $79,999; 24% under $40,000.)

Seven in ten (70%) think children growing up in California today will be worse off financially than their parents. Republicans (80%) and independents (79%) are more likely than Democrats (67%) to think this, while whites (78%) are more likely than other racial/ethnic groups to hold this view (66% Asian Americans, 64% African Americans, 61% Latinos). Strong majorities across income groups think that California children will be worse off than their parents financially (72% annual household income $80,000 or more; 67% $40,000 to $79,999; 66% under $40,000.)

"Just one in three Californians believe that the American Dream—if you work hard, you will get ahead—still holds true," said Mark Baldassare, PPIC Statewide Survey director and Miller Chair in Public Policy. "Seven in ten think that children growing up in our state today will be financially worse off than their parents."

The new statewide survey also finds:

- **Overwhelming majorities support increased public funding for job training and child care.** Nearly eight in ten Californians (79% adults, 79% likely voters) favor increased government funding for job training programs so that more workers have the skills necessary for today's jobs. Across partisan groups, 91 percent of Democrats, 78 percent of independents, and 59 percent of Republicans approve of this increased support for job training.

  "Overwhelming majorities favor increasing government funding for job training programs so that more workers can have the skills they need for today's jobs," Baldassare said.

  Three in four (76% adults, 75% likely voters) favor increased government funding to expand access to child care programs for lower-income working parents. Eighty-nine percent of Democrats, 73 percent of independents, and 49 percent of Republicans support increased funding for child care.

  "Seventy-six percent of Californians favor increasing government funding so that child care programs are available for more lower-income working parents," Baldassare said.

- **Many Californians are concerned about the economic impact of artificial intelligence (AI).** Asked about the potential effect of AI on their own industry, 50 percent of employed Californians think AI will reduce the number of jobs available in their field. Ten percent think AI will increase the number of jobs in their field, while 39 percent think it will have no effect. Across regions, employed residents in the

Inland Empire (22%) are most likely to think that AI advances will *increase* the number of jobs available in their industry (12% San Francisco Bay Area, 10% Los Angeles, 9% Central Valley, 5% Orange/San Diego).

One-third of employed Californians are either very concerned (9%) or somewhat concerned (24%) about the prospect of AI causing them to lose their job or have their hours reduced. The level of concern about jobs or hours being cut due to AI varies across regions (Inland Empire: 13% very, 26% somewhat; Los Angeles: 10% very, 26% somewhat; Orange/San Diego: 10% very, 22% somewhat; Central Valley: 5% very, 23% somewhat; San Francisco Bay Area: 4% very, 23% somewhat).

"Half of employed residents think that artificial intelligence will decrease the number of jobs in their industry," Baldassare said. "One in three express concerns about AI resulting in losing their jobs or having their hours cut."

- **Housing costs are a constant source of worry for around one in four Californians—and a larger share of lower-income residents.** Around one in four residents say they worry every day (14%) or almost every day (12%) about the cost of housing for their family. Among those with less than $40,000 in annual household income, 42 percent worry either every day (24%) or almost every day (18%).

  "Twenty-six percent of residents, and four in ten lower-income adults, worry every day or almost every day about their cost of housing," Baldassare said.

- **Majorities are pessimistic about the state's near-term economic outlook. Also, most Californians say they are "somewhat" satisfied with their financial standing, while nearly half of lower-income residents say they are not satisfied.** Most Californians (56%) think California will have bad times financially in the next 12 months, including majorities of adults across regions (58% Central Valley, 56% Los Angeles, 55% Inland Empire, 55% San Francisco Bay Area, 52% Orange/San Diego).

  A majority of Californians (57%) say they are "somewhat" satisfied with their household's financial situation (18% very satisfied, 25% not satisfied). Among those with annual household income of under $40,000, more than four in ten—45 percent—say they are not satisfied with their financial situation.

  "Majorities of Californians are expecting bad times financially for the state economy in the next 12 months," Baldassare said. "Most residents are somewhat satisfied with their own financial situation, while almost half of lower-income residents are not satisfied."

- **Most Californians support the right of workers to organize.** An overwhelming majority of Californians (70%) approve of labor unions, including majorities across party lines (87% Democrats, 68% independents, 57% Republicans). An overwhelming majority of Californians (83%) either completely agree (45%) or somewhat agree (38%) that it is important for workers to organize to keep employers from taking advantage of them. This includes majorities across partisan groups (Democrats: 60% completely, 32% somewhat; independents: 40% completely, 39% somewhat; Republicans: 27% completely, 40% somewhat).

  "Seven in ten Californians approve of labor unions, including majorities across partisan groups," Baldassare said. "Eight in ten believe that it is important for workers to organize so that employers do not take advantage of them."

About the Survey

The Californians and Their Economic Well-Being survey is supported with funding from the Arjay R. and Frances F. Miller Foundation and the James Irvine Foundation.

The findings are based on responses from 2,344 California adult residents. The sampling error is ±3.1 percent at the 95 percent confidence level for the total unweighted sample and ±3.8 percent for the 1,449 likely voters. Interviewing took place from November 6–22 , 2024. For more information, please see the methodology section in the full survey report.

Mark Baldassare is statewide survey director at PPIC, where he holds the Arjay and Frances Fearing Miller Chair in Public Policy. He is founder of the PPIC Statewide Survey, which he has directed since 1998.

The Public Policy Institute of California is dedicated to informing and improving public policy in California through independent, objective, nonpartisan research. We are a public charity. We do not take or support positions on any ballot measure or on any local, state, or federal legislation, nor do we endorse, support, or oppose any political parties or candidates for public office. Research publications reflect the views of the authors and do not necessarily reflect the views of our funders or of the staff, officers, advisory councils, or board of directors of the Public Policy Institute of California.